

AI Ethics & Responsible AI Policy

Document Owner: Madhulata Solutions

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1. Purpose

Madhulata Solutions is committed to designing, developing, deploying, and advising on Artificial Intelligence (AI) solutions in a responsible, ethical, transparent, and secure manner.

This policy establishes the principles governing the use of AI technologies across all consulting engagements, internal operations, research initiatives, and client-facing products and services.

The objective is to promote trustworthy AI while minimizing risks related to privacy, security, fairness, accountability, and regulatory compliance.

2. Scope

This policy applies to:

- Employees
- Contractors
- Consultants
- Interns
- Technology partners
- Third-party service providers
- Client projects delivered by Madhulata Solutions

This policy covers:

- Generative AI
- Large Language Models (LLMs)
- AI Agents
- Machine Learning
- Deep Learning
- Natural Language Processing
- Computer Vision
- Automation Systems
- Decision Support Systems

3. Guiding Principles

3.1 Human-Centered AI

AI shall support human decision-making rather than replace human accountability.

Critical decisions affecting individuals should always include appropriate human review.

3.2 Transparency

Whenever practical, clients shall be informed when AI systems are used in delivering services.

Known limitations, assumptions, and confidence levels should be communicated where appropriate.

3.3 Fairness

Reasonable efforts shall be made to identify and reduce unfair bias in AI systems.

Training datasets, prompts, evaluation methods, and outputs should be periodically reviewed for potential bias.

3.4 Accountability

Madhulata Solutions remains accountable for the AI solutions it develops or delivers.

Responsibility for outcomes cannot be delegated solely to automated systems.

3.5 Privacy

Personal and confidential information shall be processed in accordance with applicable privacy laws and contractual obligations.

Client data shall only be used for authorized purposes.

3.6 Security

Appropriate technical and organizational measures shall be implemented to protect AI systems against unauthorized access, misuse, or manipulation.

3.7 Reliability

AI outputs shall be tested, validated, and monitored before deployment whenever feasible.

Known limitations shall be documented.

3.8 Regulatory Compliance

AI systems shall be designed and deployed in compliance with applicable laws and regulations in the jurisdictions where services are provided.

4. Responsible Use of AI

Personnel shall:

- Verify AI-generated content before delivery.
- Exercise professional judgment.
- Maintain human oversight.
- Protect confidential information.
- Report suspected AI failures or misuse.

Personnel shall not:

- Use AI to generate misleading or fraudulent content.
 - Upload confidential client information into unauthorized AI services.
 - Circumvent security controls.
 - Deploy AI without appropriate testing where material risks exist.
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5. Human Oversight

Human review shall be incorporated into AI-assisted workflows where outputs may materially affect clients, individuals, or business operations.

The level of review should be proportionate to the associated risk.

6. Risk Assessment

Prior to deploying AI solutions, project teams should consider:

- Privacy risks
- Security risks
- Ethical considerations
- Operational impacts
- Legal obligations
- Bias and fairness concerns
- Reliability
- Explainability

Where appropriate, mitigation measures shall be documented.

7. Data Governance

AI systems shall only use data that has been lawfully obtained and appropriately authorized.

Reasonable measures shall be taken to:

- Minimize unnecessary data collection.
 - Protect sensitive information.
 - Secure data throughout its lifecycle.
 - Respect client confidentiality.
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8. Monitoring

AI systems should be periodically reviewed to identify:

- Model drift
- Performance degradation
- Unexpected outputs
- Security issues
- Emerging risks

Where significant issues are identified, corrective actions should be implemented promptly.

9. Reporting Concerns

Employees are encouraged to report:

- Ethical concerns
- Security incidents
- Bias
- Misuse
- Unexpected AI behavior

Reports shall be reviewed appropriately and, where necessary, corrective measures implemented.

10. Compliance

Failure to comply with this policy may result in disciplinary action, contractual remedies, or other appropriate measures, depending on the circumstances.

11. Policy Review

This policy shall be reviewed at least annually or sooner if significant legal, technological, or operational changes occur.

12. Contact

Questions regarding this policy may be directed to:

Madhulata Solutions

Email: contact@madhulatasolutions.com

Website: www.madhulatasolutions.com